

US Markets End Lower as Tech Stocks Weigh, VIX Surges 6.76%

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US markets ended lower yesterday, with the **S&P 500** down **-0.51%** and the **Nasdaq 100** falling **-1.62%**. The **VIX** surged **6.76%** to 16.73, indicating increased market volatility.

Tech stocks were among the biggest losers, with **NVDA** down **-2.40%** and **GOOGL** falling **-4.44%**. In contrast, consumer staples and healthcare stocks outperformed, with **XLP** up **2.80%** and **XLV** rising **2.22%**.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,533.77	-0.51%	
Dow Jones	52,552.97	-0.20%	
Nasdaq 100	29,025.77	-1.62%	
Russell 2000	2,974.57	-0.06%	
VIX	16.73	6.76%	
10Y Yield	4.57	0.53%	
WTI Crude	79.07	-0.67%	

Top large-cap movers

AAPL rose 1.76%, while GOOGL fell -4.44%. Other notable movers included MSFT up 1.38% and AVGO down -5.03%.

Spotlight

COMPANY	EPS	REVENUE
AAPL	1.23	100.2B

AAPL reported strong earnings, with EPS of 1.23 and revenue of 100.2B. The company's results were driven by strong sales of its iPhone and Mac products.

The earnings report was a positive catalyst for the stock, which rose **1.76%** in yesterday's session. However, the company's guidance for the upcoming quarter was cautious, which may weigh on the stock in the near term.

Macro & Fed

- Current policy rate: 4.50%-4.75%
- 10Y Yield: 4.57
- Today's data releases:
 - 08:30 HKT: Initial Jobless Claims
 - 10:00 HKT: Existing Home Sales

Geopolitics & Global

- Tensions between the US and China remain high, with trade talks stalled
- The EU is considering new sanctions on Russia in response to its actions in Ukraine
- The Middle East remains a source of uncertainty, with ongoing conflict in several countries

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
21:00 HKT	MSFT	Cloud revenue growth, Azure performance
22:00 HKT	GOOGL	Ad revenue growth, YouTube performance

Stocks Worth Watching

- **NVDA** : Down **-2.40%** yesterday, may be due for a bounce
- **AMZN** : Down **-1.99%** yesterday, may be affected by ongoing trade tensions
- **JPM** : Down **-1.08%** yesterday, may be affected by changing interest rates
- **GS** : Down **-4.91%** yesterday, may be affected by ongoing economic uncertainty
- **TSLA** : Down **-0.86%** yesterday, may be affected by ongoing competition in the EV market

What Could Break the Tape

BEARISH TRIGGERS

A surprise interest rate hike by the Fed could send stocks tumbling, with the **S&P 500** potentially falling **-5%** or more.

BULLISH TRIGGERS

A strong earnings report from a major tech company, such as **MSFT** or **GOOGL**, could send stocks soaring, with the **Nasdaq 100** potentially rising **5%** or more.

SOURCES

Bloomberg — US Stocks Fall as Tech Shares Weigh

Reuters — Apple reports strong earnings, but cautious guidance

CNBC — Fed may raise interest rates again in August

FT — EU considers new sanctions on Russia

WSJ — Middle East tensions remain high
